demand for consumption goods which, in the absence of commensurate increase in production, put upward pressure on prices.

But as they say, there are no free lunches. The government's apparent success on one side was also its failure on another front. It was spending way beyond its means by borrowing in the market. Since the total pool of money available in the market for borrowing is limited, the more the government borrows, the less there is for the private sector. And if the private sector did not borrow and invest, we would not be able to expand the productive capacity of the economy to meet the growing demand for goods and services. It would have been some consolation if the government, even if it borrowed way too much, spent the borrowed money on building capital or infrastructure, which would then add to the productive capacity of the economy; but they were spending it on consumption which was only driving up inflation.

The reason for this rather long exposition is to say that in telling the inflation story to the prime minister, I would give him both the positive and negative sides of it. As an economist, he understood my arguments, but as a politician, he felt helpless. Most of the time, all I would get by way of a reply would be a wry smile.

## Criticism of Baby Steps

There was criticism of my monetary policy stance, ironically from opposite directions—by the hawks for being too dovish and by the doves for being too hawkish. The hawks argued that we were too soft on inflation, that we were late in recognizing the inflation pressures, and even after recognizing the problem, we remained behind the curve. The baby-step tightening that defined my anti-inflation strategy, according to them, was a timid and hesitant response. The drip-drip effect of repeated baby steps, the argument went, did not give the sense of overwhelming power being directed to fight inflation head-on.

From the other side of the spectrum, the doves' charge was that raising interest rates as I was doing was a futile exercise since our inflation was